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CASE #	CASE NAME	HEARING NAME
CVRI2602081	BEBING vs TESLA, INC.	MOTION TO COMPEL ARBITRATION

Tentative Ruling: Defendant Tesla, Inc.'s Motion to Compel Arbitration is granted. The action is stayed.

REQUEST FOR JUDICIAL NOTICE

Defendant requests the court take judicial notice of Plaintiff's Complaint. The court may take judicial notice of its own records. (Evid. Code, § 452, subd. (d).) The Complaint is relevant to determining whether the asserted claims fall within the scope of the arbitration agreement.

Upon the motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC 3.1330; *see also Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-19.)

"In ruling on a petition to compel arbitration, the trial court may consider evidence on factual issues relating to the threshold issue of arbitrability . . . Parties may submit declarations when factual issues are tendered with a motion to compel arbitration." (*Engineers & Architects Assn. v. Community Development Dept.* (1994) 30 Cal.App.4th 644, 653.) In the summary proceedings on a motion to compel arbitration, "the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

Existence of Agreement

Both the Federal Arbitration Act ("FAA") and the California Arbitration Act require the existence of a valid arbitration agreement, before arbitration can be compelled. (See 9 U.S.C. §2 and Code Civ. Proc., §1281.2) The party seeking to compel arbitration has the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. (CCP § 1281.2; *Ruiz v. Moss Bros. Auto Group* (2014) 232 Cal.App.4th 836, 842.) California Rules of Court, Rule 3.1330 provides that a party seeking to compel arbitration must attach a copy of the agreement to the petition or the petition

must set forth the provisions of the agreement. The moving party needs only to allege the existence of an agreement, and once they have done so the burden shifts to the responding party to prove the falsity of the purported agreement. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219.)

Here, Defendant presents two agreements: the Motor Vehicle Order Agreement (MVOA) and the Retail Installment Sale Contract (RISC). Because the MVOA contains a supersession clause stating that it “overrides any different arbitration agreement between us” (Kim Decl., Ex. 1, p. 3), the analysis below first examines the validity of the MVOA’s arbitration clause.

The Motor Vehicle Order Agreement (MVOA)

Defendant provides a declaration from its Manager of Business Resolution, Raymond Kim, who attests that Plaintiff ordered the vehicle through Tesla’s website. (Kim Decl. ¶¶ 3-4.) This process required Plaintiff to click a button that read “Place Order.” Immediately below this button was a hyperlink to the MVOA, accompanied by bold text advising that clicking the button constituted agreement to the MVOA’s terms. (Kim Decl. ¶ 4.) This constitutes a “clickwrap” agreement, where a user confirms assent by clicking a button to accept terms. (*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 470.) Based on recent California appellate court cases, “the full context of the transaction is critical to determining whether a given textual notice is sufficient to put an internet consumer on inquiry notice of contractual terms.” (*Id.*, at 477.) Here, Plaintiff’s consent to be subject to a binding arbitration agreement is implied by this affirmative act of assent, which Kim explains was a necessary step to purchase the vehicle. (Kim Decl. ¶4.)

The MVOA contains an arbitration provision, which states:

“you agree that *any dispute* arising out of or relating to any aspect of the relationship between you and Tesla will not be decided by a judge or jury but instead by a single arbitrator in an arbitration administered by the American Arbitration Association (AAA) under its Consumer Arbitration Rules.” (Kim Decl., Ex. 1, p. 3.)”.

Crucially, this provision also contains a 30-day opt-out clause and a supersession clause stating:

“You may opt out of arbitration within *30 days*... If you *do not opt out*, this agreement to arbitrate *overrides* any different arbitration agreement between us, including any arbitration agreement in a lease or finance contract.” (*Id.*)

Mr. Kim attests that Plaintiff did not opt out. (Kim Decl. ¶ 7.)

Plaintiff argues Defendant has not met its burden to establish the existence of a valid arbitration agreement between the parties. Plaintiff challenges the Kim Declaration arguing Kim merely explains how Tesla’s website is designed to function and not the

specifics of Plaintiff's individual transaction. Plaintiff challenges Defendant's evidence and contends the evidence is deficient because it does not identify the electronic records demonstrating Plaintiff's assent to the MVOA, explain how Plaintiff's assent was authenticated, or describe the process by which Tesla verified that Plaintiff accepted the agreement.

The party seeking arbitration must present "prima facie evidence of a written agreement to arbitrate." (*Rosenthal, supra*, 14 Cal.4th at 413.) This burden does not require proving the agreement's validity, but merely its existence, by a preponderance of the evidence. (*Id.*) A declaration from a corporate representative authenticating a copy of the agreement from business records and describing the process of its formation is generally sufficient to meet this initial burden. (See *Espejo, supra*, 246 Cal.App.4th 1047, 1058.) Mr. Kim's declaration, based on his familiarity with Tesla's sales and record-keeping processes, appears sufficient to meet this prima facie standard.

Once the moving party meets this burden, the burden shifts to the opposing party to produce evidence challenging the agreement's formation. (*Rosenthal v. Great Western Finance Securities Corp.* (1996) 14 Cal.4th 394, 413-414.) Here, Plaintiff has not submitted any evidence challenging the agreement's formation. Instead, Plaintiff argues the sufficiency of Defendant's evidence. This is unavailing. Defendant has presented sufficient prima facie evidence that Plaintiff assented to the MVOA, and Plaintiff has failed to present sufficient evidence to rebut that showing. A valid agreement to arbitrate exists under the MVOA.

Retail Installment Sales Contract (RISC)

Alternatively, Defendant points to the RISC as a means to compel arbitration. Plaintiff signed the RISC on February 22, 2023 when they took delivery of the car. (Kim Decl. ¶¶3, 8, Ex. 2.) Page 1 of the RISC states: "By signing below, you agree that, pursuant to the Arbitration Provision on page 5 of this contract, you or we may elect to resolve any dispute by neutral, binding arbitration..." (*Id.* at p. 1.) Page 5 of the RISC contains the full arbitration provision, prominently captioned in bold, capital letters: "ARBITRATION PROVISION" and "PLEASE REVIEW - IMPORTANT - AFFECTS YOUR LEGAL RIGHTS." This provision states, in relevant part:

"[a]ny claim or dispute, whether in contract, tort, statute or otherwise... which arises out of or relates to your credit application, purchase or condition of this vehicle, this contract or any resulting transaction or relationship... shall, at your or our election, be resolved by neutral, binding arbitration ..." (Kim Decl., Ex. 2, p. 7.)

This provision explicitly covers "[a]ny claim or dispute...which arises out of or relates to your...purchase or condition of this vehicle." (*Ibid.*) Plaintiff does not dispute that he ordered the vehicle online or signed the RISC.

The court need not consider the RISC, however, given the applicability of the MVOA. Defendant has satisfied its initial burden to show the existence of a valid arbitration agreement between the parties.

Enforceability of Agreement

Plaintiff argues the arbitration agreement is both procedurally and substantively unconscionable and, as a result, cannot be enforced. If an arbitration agreement satisfies the minimum requirements for validity, as here, it must be enforced unless the party opposing enforcement can prove that the agreement is both procedurally and substantively unconscionable. (*Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1243; *Armendariz, supra*, 24 Cal.4th at 94.) Plaintiff, as the party opposing arbitration, bears the burden of proving unconscionability. (*Szetela v. Discover Bank* (2002) 97 Cal.App.4th 1094, 1099.)

“The procedural element of an unconscionable contract generally takes the form of a contract of adhesion, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” (*Little v. Auto Stiegler, Inc.* (2001) 29 Cal.4th 1064, 1071 [internal quotation & quotation marks omitted].) “Substantive unconscionable terms may take various forms but may generally be described as unfairly one-sided.” (*Id.* at 1071–72.) “[P]rocedural and substantive unconscionability must *both* be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” (*Armendariz, supra*, 24 Cal.4th at 114 [internal quotation omitted] [italics in original].)

In an unconscionability analysis, “a sliding scale is invoked whereby the more procedurally oppressive the arbitration clause is, the less evidence of substantive unconscionability is required to warrant the conclusion that the agreements to arbitrate are unenforceable.” (*McManus v. CIBC World Markets Corp.* (2003) 109 Cal.App.4th 76, 91.) “In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114.) “Although both elements must be present before a contract or contract provision is rendered unenforceable on grounds of unconscionability, they are reviewed in tandem such that ‘the greater the degree of substantive unconscionability, the less the degree of procedural unconscionability that is required to annul the contract or clause.’” (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329.)

Procedural Unconscionability

Procedural unconscionability is generally satisfied if the contract was an adhesion contract. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1280-1281, fn. 11.) A contract of adhesion is a standardized contract that relegates the individual with less bargaining strength to either accept the terms as is, with no opportunity to negotiate or to reject the agreement. (*Armendariz, supra*, 24 Cal.4th at 113.) The adhesive nature of a contract establishes some degree of procedural unconscionability.

(*Sanchez, supra*, 61 Cal.4th. at 915.) Such contracts in the employment context, in which employees may feel significant economic pressure to agree to the arbitration requirement, show some degree of procedural unconscionability. (*Carmona, supra*, 226 Cal.App.4th at 84.)

Plaintiff argues both the MVOA and the RISC were standardized contracts drafted exclusively by Tesla and presented on a “take it or leave it” basis. Plaintiff argues he did not have any meaningful opportunity to negotiate the terms. Both the MVOA and the RISC are standard adhesion contracts. This presents some degree of procedural unconscionability. However, the MVOA provided Plaintiff with a clear, 30-day period to opt-out of the arbitration agreement. (Kim Decl. Ex. 1 p.4.) Plaintiff did not utilize this option to opt-out of the arbitration provision. (Kim Decl. ¶¶7.) The opportunity for Plaintiff to reject the arbitration provision mitigates the oppressive aspect of the contract.

Even with established procedural unconscionability, Plaintiff still must establish substantive unconscionability to defeat the instant motion. (*McManus, supra*, 109 Cal.App.4th at 91.)

Substantive Unconscionability

Substantive unconscionability refers to terms that may be described as unfairly harsh or one-sided. (*Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1071.) “A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be so one-sided as to shock the conscience.” (*Pinnacle Museum Tower v. Pinnacle Market Development* (2012) 55 Cal. 4th 223, 246.)

In assessing substantive unconscionability, the “paramount consideration” is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.) “[I]t is unfairly one-sided for an employer with superior bargaining power to impose arbitration on the employee as plaintiff but not to accept such limitations when it seeks to prosecute a claim against the employee, without at least some reasonable justification for such one-sidedness based on ‘business realities.’” (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 117.)

Specifically, an arbitration agreement that requires an employee to arbitrate any and all claims against the employer or its officers, trustees, administrators, employees or agents, in their capacity as such of otherwise, but does not require these persons to arbitrate claims against the employee is not sufficiently mutual. (*Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 326.) While a nonsignatory may enforce an arbitration agreement against a party to the agreement as a third-party beneficiary, the party would not be able to enforce the agreement against the agents and employees without showing that they actually accepted a benefit under the agreement. (*Id.* at 328.)

Plaintiff does not challenge any specific provisions of the arbitration agreement. Instead, Plaintiff argues the court must consider the “substantial procedural unconscionability present here” under California’s sliding scale analysis. (Opp. p.10:23-24.) Since Plaintiff

does not challenge any specific provisions in the arbitration agreement, Plaintiff has not shown any element of substantive unconscionability.

4.

CASE #	CASE NAME	HEARING NAME
CVRI2602516	GRIES vs EISENHOWER MEDICAL CENTER	MOTION FOR PREFERENTIAL TRIAL SETTING

Tentative Ruling: Plaintiff's Motion for Trial Preference is granted. Trial is set for 11/6/26; Trial Readiness Conference is set for 10/30/26.

A party who is over 70 years of age may petition the court for preference, "which the court shall grant if the court makes both of the following findings: (1) the party has a substantial interest in the action as a whole; and (2) the health of the party is such that a preference is necessary to prevent prejudicing the party's interest in the litigation." (CCP §36(a)(1)-(2).) Where a party meets the requisite standard for calendar preference based on the party's health and status as more than 70 years of age, preference must be granted; no weighing of interest is involved. (*Fox v. Superior Court* (2018) 21 Cal.App.5th 529, 534.) "Mere inconvenience to the court or other litigants is irrelevant. [citation] Failure to complete discovery or other pretrial matters does not affect the absolute substantive right to trial preference for those litigants who qualify for preference under subdivision (a) of section 36." (*Swaites v. Superior Court* (1985) 212 Cal. App. 3d 1082, 1085.) The trial court does not balance the interests of the parties in applying section 36(a). (*Ibid.*)

Plaintiff was born on August 2, 1942 and is currently 84-years-old, which satisfies the first factor above. (Willoughby Dec., ¶ 1.) It is undisputed that, as the Plaintiff, Gary Gries has a substantial interest in the action. Accordingly, the only remaining issue is whether Plaintiff's health is such that a preference is necessary to prevent prejudicing his interest in the litigation.

Pursuant to CCP § 36.5, a motion for trial preference under Section 36(a) may be supported by nothing more than an attorney's declaration based upon information and belief as to the medical diagnosis and prognosis. (*Fox, supra*, 21 Cal. App. 5th at 534.) The moving party is not required to provide a doctor's opinion. (*Ibid.*) Moreover, the party is not required to establish that death or incapacity is imminent or likely to deprive her of the ability to participate in trial. (*Ibid.*)

Here, counsel's declaration appears to be based on the same medical conditions at issue in the Complaint. On February 28, 2026, Mr. Gries was diagnosed with multiple pulmonary nodules with a dominate spiculated mass in the right middle lobe, which was apparently highly concerning for primary lung cancer. (Willoughby Dec., ¶ 2.) Subsequent imaging revealed nine enhancing intracranial lesions consistent with brain metastasis, multiple liver lesions consistent with metastasis, C-4 spine metastasis and hypopituitarism caused by brain metastasis. (*Id* at ¶ 3.) Counsel states that this type of